Event-to-Exposure Risk Radar

Explainable portfolio scenarios from public financial text

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Individual submission. Public text, hypothetical holdings and assumed shocks.

The portfolio question

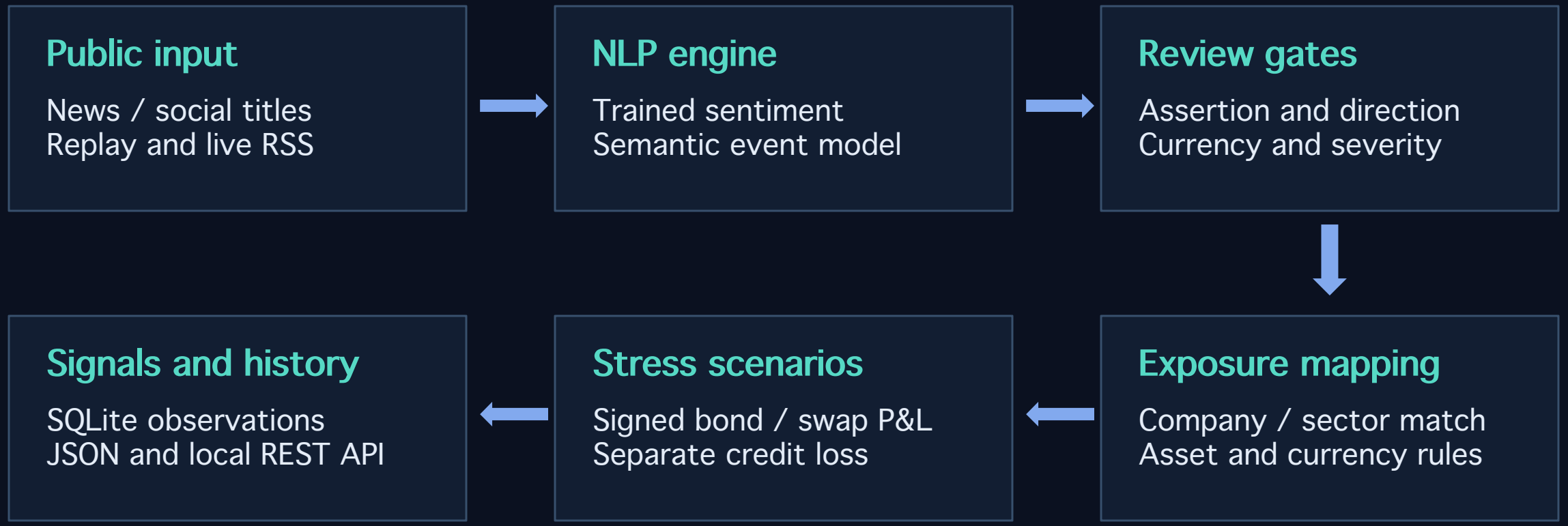
Which holdings does this report affect?

A policy-rate decision affects fixed-rate bonds and the rates hedge.
A borrower default affects that borrower’s loan and bond.

The engine links structured text signals to explicit exposure rules.
Analysts inspect evidence, choose shocks and review the calculation.

Sentiment, event type and a 1–10 severity rubric form the downstream signal.

System design



Uncertain reports pause automatic stress. An explicit what-if never verifies the source.

Rates and the hedge

Assumed 100 basis-point parallel rate shift



+$1.25M

Swap contribution when rates rise

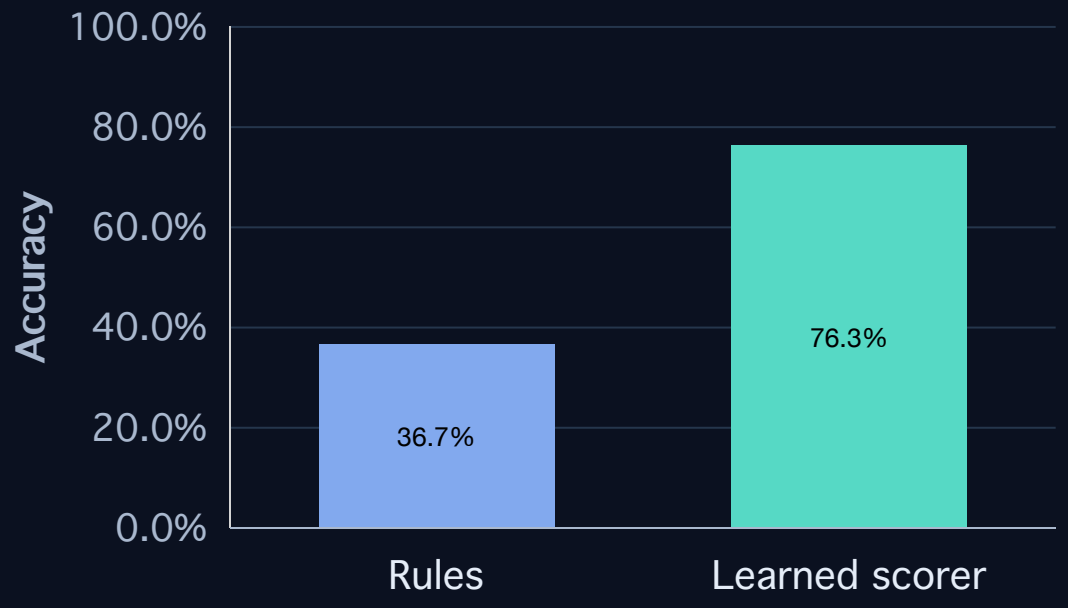
−$1.25M

Swap contribution when rates fall

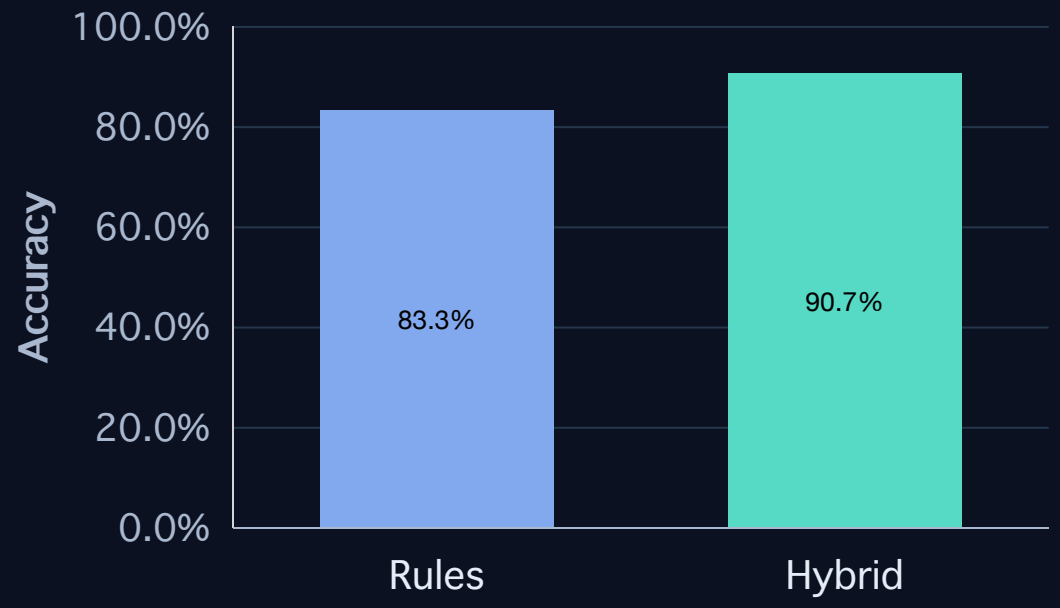
First-order sensitivities on hypothetical positions. Loan EAD and swap notional stay outside market value.

Measured NLP results

Sentiment: 240 publisher-labelled texts



Events: 108 curated public examples



Sentiment validation excludes normalized training overlap. Event labels are builder-curated and keyword-enriched, not independent or blinded.

Borrower-specific credit stress

2 affected holdings

The historical Rite Aid event maps to its hypothetical loan and bond.
Other borrowers remain outside this scenario.

Assumption	Market P&L	Incremental ECL
Spread +150 bps	−$0.90M	—
PD multiplied by 3	—	+$2.70M

The blanket counterfactual shows mapping selectivity. Different assumed shocks cannot prove forecast superiority.

Validation boundaries and next steps

Reliable demonstration

Replay requires no Transformer downloads. Live failure visibly uses a saved snapshot. The local API persists structured observations.

What remains uncalibrated

Severity, confidence thresholds and scenario magnitudes need broader independent validation. Six SPY event-day checks cannot establish causation.

Next steps: independent annotation, target-aware sentiment, richer curve and credit models, freshness and source verification.